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IT'S BARELY 7 AM and the sun is already making its presence felt at Ras. The village, in Rajasthan's Pali district, is home to a Shree Cement plant. There are eight imposing kilns that are operating, as we make our way around the large tract of land. It is hard to miss the limestone mines or the water bodies or the multiple heavy vehicles at the site. For the workers here, this—with all the din and dust—is just another day at work.

That we chose to visit a Shree Cement plant in northern India is for a reason. This region is the company's biggest market and accounts for 40-41% of its sales. Another 28-29% comes from the east, 16-17% from central India, while the west and south contribute 9-10% and 5%, respectively. In India's intensely competitive cement business, Shree is the third-largest company after the A.V. Birla Group's UltraTech Cement and the Adani Group-owned Ambuja Cements (ACC is a subsidiary).

However, Shree Cement's growth story is remarkably different from that of its peers. About 25 years ago, the company was not only on the verge of bankruptcy, but also had limited understanding of how to keep costs under control. According to data from Ace Equity, in the financial year ended March 2002, its profit

after tax (PAT) was ₹1.5 crore as against a total debt of ₹307 crore, indicating that its earnings were not sufficient to cover liabilities. In FY24, it posted a PAT of ₹2,396 crore against a total debt of ₹1,475 crore, reflecting a significant improvement in financial strength.

The crisis that began around 2000 forced the company to become more prudent with money and develop an ability to innovate. It took far-reaching decisions such as importing coal from Indonesia (quality was better at a lower cost), replacing coal with petroleum coke (a by-product of refining crude oil) wherever possible and setting up a captive power plant that cut costs by over half. Aggressive cost optimisation through fuel diversification and in-house power generation were strategies that till then had not been widely adopted in the industry.

The company soon figured out waste heat recovery (recovering thermal energy and reusing it) and set up split grinding units to come closer to user markets. A split grinding unit is a cement grinding plant that is physically separate from the clinker production facility. Traditionally, cement plants operated with a single large facility serving nearby areas. By



**HARI MOHAN
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“We benchmark ourselves against the industry and not individual players. Some will grow faster, but we choose to remain patient”